

With me so far? OK, now, the prices of some items in the index will go up and the prices of some things will go down. For example, the price of a telephone call has fallen sharply over the last ten years, but the price of dal has more than tripled. Ups and downs in price will cancel each other out, but if price rises on the average have been more than the price falls, the index will rise – and we will say inflation is rising. If the opposite happens, we get data to say inflation is falling.

Our individual experience of buying something in the market may not reflect the broad trend of inflation. For example, you go to buy milk and find the prices have gone up. But the index may be down because the price fall in fuel and several other things have cancelled out the price rise in milk.

We can use this understanding of the price index to now meet Mr Sensex. The Sensex is made up of thirty most representative companies that are listed on the Bombay Stock Exchange (BSE). The index has an initial value of 100, as on 1 April 1979.

The index is made up of companies that represent the sectors they operate in. They are also companies that are most traded on the stock market. When we say the Sensex went up, we mean that of the thirty companies in the Sensex more prices rose than fell.

The opposite is true when the Sensex falls. The Sensex is the barometer of the activity on a stock market during the day, and over a long period of time. So when you hear the words – the Sensex is up, it does not mean that somebody threw down dice and the market went up. It just means that more prices went up than down for thirty companies!

The Nifty50 is another index that tracks the market health. This is made up of fifty stocks. India has two large exchanges – the BSE and the NSE – and both will have their own set of indices.

The Sensex and Nifty50 are broad market indices and are also called large-cap indices. You must have heard the term ‘market cap’ or ‘market capitalization’ – this is just the number of shares of the company multiplied by the price. If the firm has 100 shares in the market and they currently sell at Rs 50 per share, then the market cap is Rs 5,000.